SYNTH · EXECUTIVE MEMO

TERM SHEET FOR SERIES A PREFERRED STOCK FINANCING

Memo Date: 2026-05-12

⚠️ Synth is not legal advice or financial advice. It is a document review aid. Consult a qualified professional before making decisions.

Executive Summary

This memo summarizes key findings from the Synth review of "TERM SHEET FOR SERIES A PREFERRED STOCK FINANCING". The document presents High risk (score: 65/100). Several provisions require immediate attention, including liability limitations, renewal terms, and modification rights. This memo was generated in mock mode — run with a real AI provider for document-specific analysis.

Biggest Risks

High **Unilateral Modification Rights**

Provider may be able to modify terms without customer consent.

High **Limited Liability Cap**

Liability may be capped at a small fraction of potential damages.

Medium **Auto-Renewal with Short Notice**

Agreement auto-renews unless cancelled within a specific window.

Financial Obligations

- Review all fee structures in document
- Note all payment deadlines
- Check for auto-renewal costs

Important Deadlines

Deadline	Date
Effective Date	See document
Initial Term End	See document

Questions for Your Lawyer

1. Is the liability cap sufficient for our exposure?
2. Are the indemnification obligations reasonable?
3. What is the practical impact of the governing law choice?
4. Can we negotiate a mutual written amendment requirement?
5. What data rights does the other party retain?

Action Items

1. Review all payment and fee terms with finance team
2. Calendar all notice and cancellation deadlines
3. Have legal counsel review liability and indemnification provisions
4. Request data processing agreement if applicable
5. Verify governing law is acceptable for your jurisdiction